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NCBA

NCBA Group HY'24 Earnings Note

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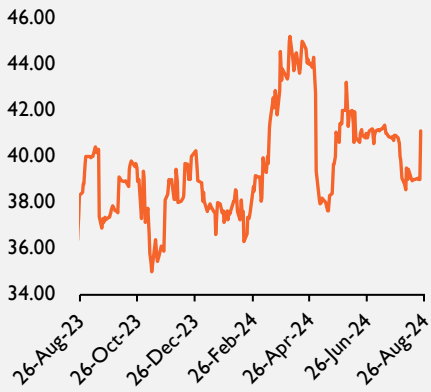


NCBA Group HY'24 Earnings Note

August 27th , 2024

Ticker Information	
NSE Code:	NCBA
Issued Shares (Bn):	1.65
52-week high:	KES 45.20
52-week low:	KES 35.00

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	0.7%	3.7%	9.7%	6.6%

Source: NSE, AIB-AXYS Research

Analysts

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Recommendation	Current Price	Target Price
HOLD	**KES 42.05**	**KES 46.25**

Summary

- **NCBA Group clocked below in-house expectations over the first half of 2024 recording a mild 5.0% y/y growth in net earnings to KES 9.82Bn.** Revenue growth was muted at 1.1% y/y primarily supported by improved performance of non-banking subsidiaries. Net interest margin contracted 30bps y/y to 5.4% reflecting pressure from rising funding costs outpacing yields on interest-earning assets. Trailing return on equity increased 490bps y/y to 23.1% while trailing return on assets increased 80bps y/y to 3.2%.
- **The Board of Directors recommended an Interim Dividend of KES 2.25 per share.** The dividend will be payable on 25th September 2024 to shareholders on register as of 11th September 2024.

Key Highlights

- **Ground Core Performance:** Net Interest Income contracted 4.4% y/y to KES 16.45Bn – primarily grounded by the 64.5% y/y surge in interest expenses which offset the 25.4% y/y rise in interest income. Non-funded income expanded 7.9% y/y to KES 14.91Bn despite the 14.6% y/y decline in forex trading income. Net interest margins contracted 30bps y/y to 5.4%. The 200bps y/y rise in the average yield on interest earning assets to 12.5%, was however outpaced by the 230bps y/y increase in the cost of funds to 7.1%. This reflected the broader market trend of elevated interest rates, which piled pressure of the lender's funding costs.
- **Enhanced Asset Quality:** Gross Non-Performing Loans (NPLs) eased 4.1% y/y to KES 40.90Bn – leading to the 120bps y/y decline in the gross NPL ratio to 12.7%. The improvement in asset quality was further reflected in the NPL coverage ratio which increased to 59.8%. Management contracted credit loss provisions by 38.3% y/y to KES 2.71Bn, expressing confidence in their adequate provisioning and sufficient coverage.

Balance Sheet Dynamics

Customer deposits expanded moderately by 2.4% y/y to KES 528.89Bn slower than the 5.9% y/y expansion of the loan book to KES 309.66Bn. Management strategically trimmed allocation to government securities by 5.5% y/y to KES 218.88Bn, - a move driven by attractive margins on customer assets and a need to maintain a robust operational liquidity. Additionally, the bank realized fair value gains of KES 2.74Bn benefiting from market yield movements.

Suboptimal Efficiency

Operating efficiency declined as evidenced by the rise in the Cost-to-Income ratio (excluding loan-loss provisions) by 660bps y/y to 52.6%. This decline reflects a disproportionate rise in pre-provisions operating expenses which grew 15.5% y/y compared to the mild 1.1% increase in operating income. The escalation in expenses was primarily driven by substantial investments in upgrading digital channels and expanding personnel. These investments, while essential for long-term growth and competitiveness, have temporarily pressured the bank's efficiency metrics.

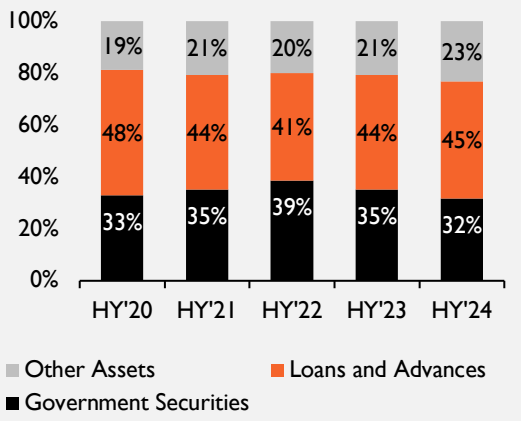
Outlook

We anticipate that the lender's growth will be driven by advancements in core banking operations and the expansion of non-banking subsidiaries, such as asset finance services. We believe the acquisition of AIG Insurance will significantly enhance the lender's capabilities in bancassurance, leading to further business expansion and diversification. We foresee accelerated growth through enhanced digital adoption and the organic expansion of subsidiaries in Tanzania, Uganda, and Rwanda. We expect the loan portfolio to continue expanding, particularly through digital loan products like Fuliza and M-Shwari, supported by the implementation of a risk-based pricing model.

Recommendation

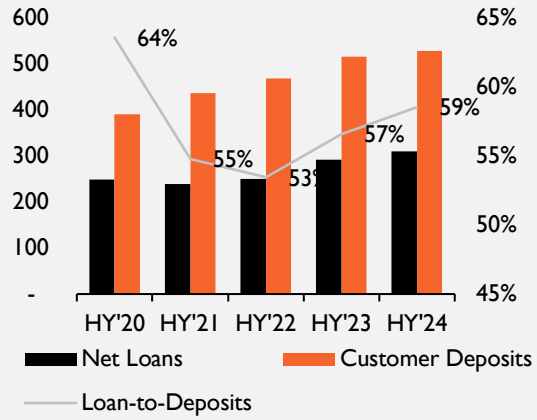
- **We maintain our *BUY* recommendation on NCBA Group underpinned by the promising trajectory.** At the current market price, the stock is trading at P/E ratio of 3.1x and a P/B ratio of 0.7x. Our one-year target price for NCBA Group currently stands at KES 46.25 - representing a c.10.0% upside potential from current levels.

Chart 2: Asset Composition



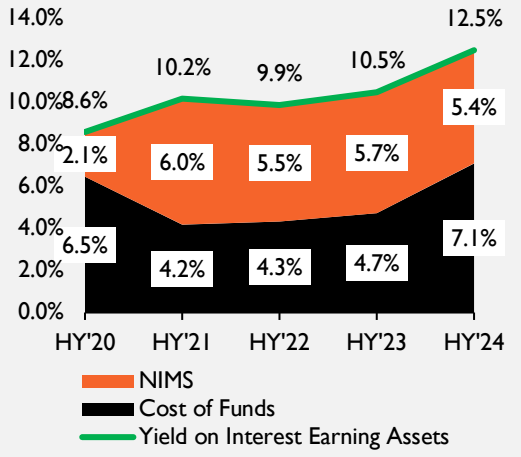
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Stagnant NIMS



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y Change
Net Interest Income	11.21	13.43	14.80	17.21	16.45	▼ (4.4%)
Non-Interest Income	10.08	10.70	14.18	13.81	14.91	▲ 7.9%
Total Operating income	21.29	24.13	28.98	31.02	31.36	▲ 1.1%
Provision for Impairment	(7.63)	(5.92)	(5.56)	(4.39)	(2.71)	▼ (38.3%)
Total Operating expenses	(16.99)	(16.33)	(17.08)	(18.66)	(19.20)	▲ 2.8%
Profit before tax	3.91	7.41	11.18	12.36	12.16	▼ (1.6%)
Profit after tax	2.63	4.66	7.77	9.35	9.81	▲ 5.0%
Core EPS Annualized	3.20	5.65	9.43	11.35	11.91	▲ 5.0%
DPS	0.00	0.00	2.00	1.75	2.25	▲ 28.6%

Balance Sheet (KES Bn)	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y Change
Government Securities	168.96	190.79	232.94	231.68	218.88	▼ (5.5%)
Loans and Advances	248.31	239.60	250.50	292.38	309.66	▲ 5.9%
Total Assets	**514.03**	**542.60**	**604.30**	**660.32**	**689.08**	▲ 4.4%
Customer Deposits	390.49	437.34	468.49	516.64	528.89	▲ 2.4%
Total Liabilities	443.73	468.16	524.04	572.01	587.67	▲ 2.7%
Shareholder's Funds	**70.06**	**74.27**	**80.18**	**88.32**	**101.40**	▲ 14.8%

Ratio Analysis	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y Change
Spreads Analysis						
Yield on Assets	8.6%	10.2%	9.9%	10.5%	12.5%	▲ 2.0%
Cost of Funds	6.5%	4.2%	4.3%	4.7%	7.1%	▲ 2.3%
Net Interest Margin	2.1%	6.0%	5.5%	5.7%	5.4%	▼ (0.3%)
ROE	2.9%	9.1%	17.3%	18.2%	23.1%	▲ 4.9%
ROA	0.4%	1.2%	2.3%	2.4%	3.2%	▲ 0.8%
Profit Margin	12.4%	19.3%	26.8%	30.1%	31.3%	▲ 1.2%
Operating Efficiency						
Cost to Income Less LLP	44.0%	43.1%	39.8%	46.0%	52.6%	▲ 6.6%
Cost to Assets Less LLP	1.8%	1.9%	1.9%	2.2%	2.4%	▲ 0.2%
Loan to Deposit	63.6%	54.8%	53.5%	56.6%	58.6%	▲ 2.0%
Asset Quality						
Gross NPL Ratio	13.4%	17.1%	14.0%	13.8%	12.7%	▼ (1.2%)
NPL Coverage	53.2%	68.0%	62.2%	57.8%	59.8%	▲ 2.0%
Cost of Risk	3.1%	2.5%	2.2%	1.5%	0.9%	▼ (0.6%)
Capital Adequacy						
Core Capital/TRWA	18.5%	19.2%	19.8%	17.9%	19.9%	▲ 2.0%
Total Capital /TRWA	19.4%	19.4%	20.0%	18.0%	19.9%	▲ 2.0%
Liquidity	54.7%	55.1%	55.1%	55.1%	53.6%	▼ (1.5%)



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